

# Crestwood 2025 Financials

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## A Plain-Language Guide for Co-op Shareholders

Based on the audited financial statements for the years ended December 31, 2025 and 2024

### **Purpose of this guide**

This handout translates Crestwood's audited financial statements into everyday language. It highlights what looks positive, what deserves monitoring, and what shareholders may want the board or management to explain.

Prepared for shareholder understanding and discussion. This is not legal, tax, or accounting advice.

# Executive Summary

Crestwood is not reporting an operating loss in 2025. The co-op brought in about \$1.132 million and ended the year with a \$28,406 accounting surplus after depreciation.

However, the financial statements also show several issues that deserve closer shareholder attention:

- Total cash fell from \$209,512 to \$161,115, a decrease of about 23%.
- The regular operating checking account held only \$1,407 at year-end.
- The co-op still owed about \$3.92 million on its main mortgage.
- About \$3.73 million of mortgage principal is due in 2029.
- Residents paid an \$88,246 operating assessment to help fund operating expenses.
- The \$350,000 lobby and hallway assessment supported a project that had incurred about \$562,000 of expenses by the end of 2025.
- The building has not conducted a study estimating future major repair and replacement needs.
- The auditors specifically noted that required supplementary information about future major repairs and replacements was omitted.

## Main takeaway

The co-op appears able to operate today, but the long-term picture depends heavily on reserve planning, capital needs, and the 2029 mortgage refinancing. Shareholders should focus not only on whether the building had a small surplus, but also on whether Crestwood has a sustainable long-term financial plan.

## 1. Did the building "pass" the audit?

Generally, yes. The independent CPA issued an unmodified opinion stating that Crestwood's financial statements fairly present the corporation's financial position in accordance with U.S. generally accepted accounting principles.

That means the auditors did not say the financial statements were materially misstated.

However, the auditors also highlighted an important omission: management did not provide required supplementary information estimating the future cost of major repairs and replacements. The auditors said that information is considered essential context, even though its absence did not change the opinion on the basic financial statements.

## Why residents should care

A clean audit opinion tells us the reported numbers are fairly presented. It does not automatically tell us that reserves are adequate, future projects are fully planned, or maintenance levels are sustainable.

## 2. How much money does Crestwood actually have?

| Cash Account         | 2025     |
|----------------------|----------|
| Operating checking   | \$1,407  |
| Reserve checking     | \$89,604 |
| Reserve money market | \$46,157 |

|                       |           |
|-----------------------|-----------|
| Merrill Lynch reserve | \$10,420  |
| NCB reserve           | \$13,527  |
| Total cash            | \$161,115 |

One year earlier, total cash was \$209,512. That means cash declined by \$48,397, or about 23%, during 2025.

The balance sheet also shows more than \$3 million in total assets, but shareholders should not confuse total assets with available cash. Most assets represent the building, land, improvements, and equipment.

#### Important distinction

At year-end, Crestwood had about \$161,000 of actual cash. Almost all of that was held in reserve-type accounts, while the operating checking account held only \$1,407. That does not automatically mean a cash crisis, but shareholders should ask what minimum operating cash balance management targets.

### 3. Did Crestwood make or lose money in 2025?

Crestwood technically ended 2025 with a surplus.

| Item                   | 2025        | 2024        |
|------------------------|-------------|-------------|
| Maintenance charges    | \$997,171   | \$919,051   |
| Operating assessments  | \$88,246    | \$92,075    |
| Capital assessments    | \$95,378    | \$98,421    |
| Parking                | \$16,443    | \$16,443    |
| Laundry                | \$6,000     | \$6,000     |
| Transfer fees          | \$2,280     | \$2,280     |
| Interest and dividends | \$3,516     | \$3,336     |
| Late fees              | \$1,850     | \$1,500     |
| Other income           | \$8,882     | \$9,527     |
| Total revenue          | \$1,131,633 | \$1,059,654 |

Maintenance revenue increased by about 8.5% from 2024 to 2025. Total revenue increased about 6.8%.

After operating expenses, depreciation, and amortization, Crestwood reported an excess of revenues over expenses of \$28,406, compared with \$29,457 in 2024.

### 4. Why the operating assessment matters

The notes state that Crestwood implemented an \$88,246 operating assessment in 2025 to fund operating expenses.

In plain language, shareholders were paying an additional assessment specifically to help cover normal building operating costs.

That is not automatically improper. However, it raises an important budgeting question: are regular maintenance charges sufficient to support the building's recurring costs without the assessment?

**Question for the board**

If the operating assessment ended, would regular maintenance revenue be enough to cover ordinary operating expenses without another assessment or a larger maintenance increase?

## 5. Where did the money go?

Operating expenses before depreciation were \$931,510 in 2025, up from \$883,573 in 2024. That is an increase of about 5.4%.

| Expense                 | 2025      | 2024      | Approx. Change |
|-------------------------|-----------|-----------|----------------|
| Real estate taxes       | \$232,766 | \$230,892 | +\$1,874       |
| Wages and related costs | \$166,199 | \$162,252 | +\$3,947       |
| Interest                | \$137,853 | \$131,944 | +\$5,909       |
| Repairs / maintenance   | \$116,068 | \$109,786 | +\$6,282       |
| Insurance               | \$89,305  | \$79,868  | +\$9,437       |
| Utilities               | \$71,563  | \$48,776  | +\$22,787      |
| Water and sewer         | \$55,250  | \$52,384  | +\$2,866       |
| Management fees         | \$30,200  | \$30,200  | \$0            |

Utilities stand out. They increased by roughly 47% in one year. Insurance increased by roughly 12%. Those are reasonable areas for shareholders to request an explanation.

## 6. What exactly are we spending on repairs?

| Repair / Maintenance Category | 2025      | 2024      |
|-------------------------------|-----------|-----------|
| Plumbing and heating          | \$28,209  | \$36,993  |
| General repairs               | \$25,841  | \$17,516  |
| Building supplies             | \$23,373  | \$14,338  |
| Landscaping                   | \$18,360  | \$13,420  |
| Elevator                      | \$12,734  | \$13,959  |
| Exterminating                 | \$7,551   | \$13,560  |
| Total                         | \$116,068 | \$109,786 |

Plumbing and heating costs actually declined. However, general repairs, building supplies, and landscaping all increased noticeably.

Residents could reasonably ask management to provide more detail on the largest year-over-year increases and explain whether any are expected to continue.

## 7. The lobby and hallway assessment

The board implemented a \$350,000 capital assessment to renovate the lobby and hallways. The assessment was charged at \$0.65 per share for 36 months beginning August 1, 2023.

The financial statements also say Crestwood had incurred approximately \$562,000 of expenses related to that project by December 31, 2025.

**What needs explanation**

The reported project cost is about \$212,000 higher than the \$350,000 capital assessment. That does not by itself prove an overrun or improper spending. The additional money could have come from reserves, operating cash, borrowing, prior funds, or another source. Shareholders should be told exactly how the project was funded.

A useful project reconciliation would show the original budget, approved contract amount, change orders, final cost, amount collected through the assessment, and every other source of funding.

## 8. What happened to cash during the year?

Crestwood generated \$211,338 of cash from operating activities during 2025.

At the same time, the co-op spent heavily on building improvements and debt repayment:

- \$658,310 was reported for additional building improvements and equipment.
- The cash-flow statement reflects a \$534,560 movement related to construction in progress.
- \$59,885 of first-mortgage principal was paid.
- \$76,100 of credit-line principal was paid.

After operating, investing, and financing activity, total cash fell by \$48,397, from \$209,512 to \$161,115.

This shows why looking only at the \$28,406 accounting surplus can be misleading. A building can report a surplus while still experiencing a decline in actual cash.

## 9. The mortgage: the major 2029 issue

Crestwood refinanced its mortgage in November 2019. The original principal was \$4.25 million, the interest rate is 3.24%, and the monthly payment is \$15,801.

The mortgage matures on December 1, 2029. At December 31, 2025, Crestwood still owed \$3,919,159.

| Year | Required Principal Payment |
|------|----------------------------|
| 2026 | \$61,882                   |
| 2027 | \$63,945                   |
| 2028 | \$65,729                   |
| 2029 | \$3,727,603                |

### What this means

The corporation is not scheduled to pay down the full mortgage through normal monthly payments before maturity. A very large balance remains due in 2029, so Crestwood will likely need to refinance, restructure, or otherwise address that balance.

The current 3.24% mortgage rate is favorable compared with many recent borrowing environments. If Crestwood refinances at a meaningfully higher rate in 2029, debt service could rise and place pressure on future maintenance charges.

Shareholders should ask for a refinancing strategy well before the maturity date, including scenarios showing how different interest rates would affect the annual budget.

## 10. The \$1 million credit line

Crestwood also has a \$1,000,000 credit-line mortgage. Its interest rate is the Wall Street Journal prime rate or 4%, whichever is higher.

The balance fell from \$113,000 at the end of 2024 to \$36,900 at the end of 2025.

That is a positive sign because Crestwood reduced the credit-line balance by \$76,100 during 2025.

The co-op appears to have significant unused borrowing capacity under this line, but shareholders should ask what the line is intended to fund and whether the board expects to use it for future capital work.

## 11. Why the negative shareholder equity number is not the building's market value

The balance sheet reports \$3,084,996 of assets, \$4,058,249 of liabilities, and a stockholders' deficit of \$973,253.

That sounds alarming, but it should not be read as meaning the property itself is worth less than the mortgage.

The building and improvements are carried on the financial statements using accounting cost and depreciation, not current New York City market value.

| Property Category             | Recorded Cost |
|-------------------------------|---------------|
| Land                          | \$588,936     |
| Building                      | \$3,337,305   |
| Improvements                  | \$3,695,214   |
| Equipment                     | \$107,689     |
| Less accumulated depreciation | (\$4,902,077) |
| Net recorded property value   | \$2,827,067   |

The accumulated deficit actually improved from \$1,001,659 at the end of 2024 to \$973,253 at the end of 2025.

### Bottom line

The negative equity figure is an accounting measure that should be monitored, but it does not establish Crestwood's current property market value.

## 12. The biggest long-term planning concern

The financial statements say Crestwood has not conducted a study to determine the remaining useful lives of the property's components or current estimates of the costs of future major repairs and replacements.

The notes also state that when replacement funds are needed, the corporation may increase maintenance, impose special assessments, or delay major repairs until funds are available.

The auditors separately noted the omission of required supplementary information about future major repairs and replacements.

### Why this matters

Without a documented capital-needs or reserve study, shareholders do not have a clear roadmap showing which major building systems will need replacement, when the work is expected, how much it may cost, and whether existing reserves are enough.

A useful long-term plan would normally address major items such as the roof, facade, elevators, boilers or heating equipment, plumbing, electrical systems, waterproofing, windows, common-area systems, and other significant building components.

For each major component, shareholders should be able to see an estimated timing, estimated cost, funding source, and reserve contribution plan.

## 13. The holder of unsold shares

The financial statements identify TJS Associates as the holder of unsold shares. At December 31, 2025, TJS Associates owned 1,331 shares, approximately 9% of Crestwood's outstanding shares.

The financial statements do not explain how those shares participate in shareholder elections, proxies, or other corporate votes.

Because voting rights depend on Crestwood's governing documents, shareholders should review the bylaws and proprietary lease before drawing conclusions about the effect of those shares.

## 14. Metro Management's contract

The financial statements say Crestwood entered into a management agreement with Metro Management Development in 2017 for an initial two-year term.

After that period, the agreement continued month-to-month. Either party may terminate it with at least 60 days' written notice.

Crestwood paid Metro \$30,200 in management fees in 2025 and the same amount in 2024.

### **Why this is useful**

Based on the financial statement disclosure, Crestwood does not appear to be locked into a new multi-year management term. Shareholders can reasonably ask how often the board evaluates management performance, pricing, service levels, and alternatives.

## **Overall Assessment**

### **POSITIVE**

The co-op reported a \$28,406 surplus, generated positive operating cash flow, reduced the credit-line balance, and received a clean audit opinion.

### **WATCH**

Cash declined about 23%, while utilities, insurance, and some repair categories increased.

### **EXPLAIN**

The operating assessment funded ordinary operating expenses, and the lobby/hallway project incurred about \$562,000 of costs against a \$350,000 assessment.

### **PLAN**

Crestwood lacks a disclosed future major repair study and has about \$3.73 million of mortgage principal due in 2029.



## Questions Shareholders Should Ask the Board

1. Why did Crestwood need an \$88,246 operating assessment to fund ordinary operating expenses?
2. Will that operating assessment continue after the current period ends?
3. What would regular maintenance need to be if the operating assessment ended?
4. Why did total cash fall from \$209,512 to \$161,115?
5. What minimum reserve balance does the board believe Crestwood should maintain?
6. Why was the operating checking balance only \$1,407 at year-end?
7. The lobby/hallway assessment was \$350,000, but approximately \$562,000 of project expenses were reported. Where did the additional approximately \$212,000 come from?
8. What was the original lobby/hallway project budget, final approved contract amount, total change orders, and final project cost?
9. Why did utilities increase by roughly 47% in one year?
10. Why did insurance increase by nearly \$10,000?
11. Why did general repairs, building supplies, and landscaping increase significantly?
12. How much unrestricted reserve cash does Crestwood have today?
13. Has any reserve money already been committed to future projects?
14. Why has Crestwood not conducted a professional capital-needs or reserve study?
15. Will the board commission a reserve/capital study and share the findings with shareholders?
16. What major building systems are expected to need significant repair or replacement during the next 5, 10, and 20 years?
17. How much should Crestwood contribute to reserves each year to prepare for those projects?
18. What is the plan for the approximately \$3.73 million mortgage balance due in 2029?
19. Has the board modeled how a higher refinancing interest rate would affect maintenance charges?
20. How do TJS Associates' approximately 9% of outstanding shares participate in shareholder elections, proxies, and other votes?

### One question that ties everything together

Can the board provide shareholders with a five-year financial and capital plan showing projected maintenance increases, assessments, reserve contributions, major projects, and the 2029 mortgage refinancing strategy?

## What Shareholders Should Focus On

The 2025 financial statements do not show a corporation that is currently reporting an operating loss. They do, however, show why shareholders should look beyond a single year's surplus.

The most important issues are whether regular maintenance can support normal operations without repeated operating assessments, whether reserves are sufficient for future capital needs, whether major projects are being budgeted and reconciled transparently, and how Crestwood will manage the large mortgage balance due in 2029.

Those are the questions that will determine whether future maintenance increases and assessments are unavoidable, manageable, or could be reduced through better planning.